

25STCV11776 25STCV11776

County: los-angeles

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Case Number: 25STCV11776 Hearing Date: August 25, 2026 Dept: 25

HEARING DATE: Tues., August 25, 2026 JUDGE /DEPT: Eisenman/25

CASE NAME: Zhao

v. 3 Eleven Investment LLC, et al. COMP.

FILED: 04-22-25

CASE NUMBER: 25STCV11776

NOTICE: OK

PROCEEDINGS: MOTION

FOR SUMMARY JUDGMENT, OR IN THE ALTERNATIVE, SUMMARY ADJUDICATION

MOVING PARTY: Plaintiff

Vicky Zhao

RESP. PARTY: Defendants

3 Eleven Investment LLC

MOTION FOR

SUMMARY JUDGMENT OR SUMMARY ADJUDICATION

(CCP § 437c)

TENTATIVE RULING:

The Court DENIES Zhao's motion for

summary judgment.

The Court GRANTS Zhao's motion for

summary adjudication of the first, second, third, and fourth causes of action,

and DENIES it as to the sixth and seventh causes of action.

Zhao is

to give notice.

SERVICE:

☒ Proof

of Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct

Address (CCP §§ 1013, 1013a) OK

☒ 16/21

Court Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

August 5, 2026 ☐ Late ☐ None

REPLY: Filed

August 14, 2026 ☐

Late [] None

ANALYSIS:

Vicky Zhao leased commercial space in

a shopping center from 3 Eleven Investment LLC.

Zhao presented evidence that 3 Eleven demanded rent in excess of what

the parties agreed, and that she ultimately paid it almost \$20,000 under

protest. This is an action to recover

that money. Zhao now moves for summary

judgment, or in the alternative for summary adjudication of her causes of

action for (1) breach of the lease, (2) breach of the covenant of good faith

and fair dealing, (3) violation of Business and Professions Code section 17200

et seq., (4) conversion, (6) unjust enrichment, and (7) declaratory

relief. (She dismissed her fifth cause

of action.) The Court DENIES Zhao

summary judgment in form, but GRANTS it (effectively) in substance: She is entitled to summary adjudication of

nearly every cause of action for which she has sought it.

Summary

judgment is proper "if all the papers submitted show that there is no triable

issue as to any material fact and that the moving party is entitled to judgment

as a matter of law." (Code Civ. Proc. §

437c, subd. (c).) A party can seek

summary adjudication of “one or

more causes of action within an action” if there are no triable issues of fact

as to that cause of action. (Code Civ.

Proc., § 437c, subd. (f).) The

moving party “bears the burden of persuasion that there is no triable issue of

material fact.” (Aguilar v. Atlantic

Richfield Co. (2001) 25 Cal.4th 826, 850.)

A plaintiff moving for summary judgment must prove each element of the

causes of action and show no affirmative defense has merit. (Code Civ. Proc. § 437c, subd. (p)(1).) Once plaintiff meets their burden, it shifts

to defendant to show a triable issue of one or more material facts exists. (Ibid.)

Zhao's first cause of action is for breach of

contract. The elements of a cause of action for breach of contract

are (1) a contract, (2) the plaintiff's performance of the contract, (3) the defendant's

breach of the contract, and (4) damages to the plaintiff resulting from that

breach. (Coyote Aviation Corp. v.

City of Redlands (2025) 111 Cal.App.5th 955, 973.)

Zhao's initial lease was set to expire on April 30, 2023,

with an option for a five-year extension at Zhao's election (by written notice

to the landlord at least 90 days before the lease's expiration). There is no evidence that Zhao gave that

notice, but 3 Eleven sent Zhao documents on March 10 and April 3, 2023, titled "Addendum." The April 3 document was attached to an email

with the subject line, "New Lease." It

provided for a \$2,813.77 base rent, with other fees increasing the total monthly

rent to \$3,824.51 with a three percent annual increase for a five-year term. It specified that "[a]ll other terms remain

the same." Zhao signed and returned the

document. 3 Eleven never signed, but it subsequently

invoiced Zhao \$3,824.51 per month. Zhao

paid each of those invoices in full and on time. And when 3 Eleven prepared tenant estoppel

certificates to refinance the shopping center, it asked for Zhao's signature on

a document reflecting the terms contained in the addendum Zhao had signed. She provided that certificate in November

2023.

In May

2024, however, 3 Eleven told Zhao her rent "was actually \$5,884.24 a month." Zhao refused to pay that rent, and stood on

the lease addendum that she signed. She

continued to pay rent pursuant to the lease until March 2025. At that point, 3 Eleven sent her a three-day

notice to quit, demanding \$19,798.20 in rent that it claimed it was owed from

June 2024 through March 2025. Zhao paid

it with a cashier's check that indicated clearly the amount was being paid in

protest. She then demanded its

return. Failing that, she brought this

action.

If the

April 2023 lease addendum amounted to a contract, then on Zhao's performance, 3 Eleven's

breach, and Zhao's damages—in the form of her \$19,798.20 overpayment—cannot be

disputed. 3 Eleven's failure to sign the

addendum presents an obvious statute of frauds problem—it's a contract for a

lease longer than one year (Civ. Code, § 1624, subd. (a)(3))—even though 3

Eleven's disjointed opposition hardly mentions the statute of frauds. (Indeed, it doesn't raise it in the context

of the addendum at all.) Why wouldn't

3 Eleven argue the statute of frauds defense that it pleaded in its answer? Probably because Zhao established several

exceptions to the statute of frauds that 3 Eleven cannot seriously dispute.

Perhaps

the most straightforward is that Zhao performed for over a year pursuant to the

addendum's terms—terms that 3 Eleven had Zhao confirm in an estoppel

certificate that 3 Eleven intended to use for a loan. 3 Eleven cannot very well deny the

existence of a lease agreement under which Zhao made payments, pursuant to 3

Eleven's own invoices, for over a year. (Sutton

v. Warner (1993) 12 Cal.App.4th 415, 422.)

Anyway,

as a practical matter, 3 Eleven has basically admitted the contract's

existence: It doesn't deny transmitting

the addendum to Zhao, and it doesn't deny that she signed and returned it. The most it offers in opposition to summary

judgment is its contention that it made a mistake offering Zhao the rent that

it did. Whatever the merits of mistake

as an affirmative defense to Zhao's claim, 3 Eleven didn't raise it in its

answer and "[a] party may not oppose a summary judgment motion based on a

claim, theory, or defense that is not alleged in the pleadings." (California Bank & Trust v. Lawlor

(2013) 222 Cal.App.4th 625, 637, fn. 3.)

Nor is

3 Eleven relieved of its obligations under the April 3 addendum by its

contention that Zhao orally agreed in June 2024 to pay it an increased rate of

rent going forward, in exchange for its forgiveness of back rent that Zhao purportedly

owed it. (That is, that Zhao owed it on

the dubious assumption that it was entitled to \$5,884.24 going all the way back

to the renewal of the lease.) Even

granting 3 Eleven the benefit of its evidence that Zhao made such an agreement,

that agreement would be barred by the statute of frauds. (Granadino v. Wells Fargo Bank, N.A. (2015)

236 Cal.App.4th 411, 416.) And unlike

the April 3 addendum, there is no evidence of an applicable exception to the

statute of frauds.

Nor can

3 Eleven contend that Zhao paid it the \$19,798.20 as part of some kind of

accord and satisfaction. In addition to

the fact that it didn't plead accord and satisfaction in its answer, there is

the straightforward fact that Zhao's payment under protest is no evidence of

any "accord" at all.

The

bottom line is that Zhao provided evidence that she had a contract with 3

Eleven, and 3 Eleven breached it. 3

Eleven, in turn, provided no evidence creating a triable dispute of any

material fact as to that cause of action.

Zhao is entitled to have it summarily adjudicated in her favor.

Zhao's second cause of action is breach of the implied

covenant of good faith and fair dealing.

The elements of a breach of the implied covenant of good faith and fair

dealing cause of action are (1) the existence of a contractual relationship,

(2) implied duty, (3) breach, and (4) causation of damages. (Smith

v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49.) The implied covenant of good faith and fair

dealing is in every contract, and dictates that neither party will do anything

to injure the right of the other to receive the benefits of the agreement. (Comunale v. Traders & General Ins.

Co. (1958) 50 Cal.2d 654, 658.) Given

that the April 3 lease addendum was a binding contract, Zhao's evidence

demonstrates that 3 Eleven improperly repudiated that addendum, demanded

payment for arrearages that it wasn't owed, and issued a notice threatening

forfeiture. That notice caused Zhao to

pay \$19,798.20 under protest, and 3 Eleven has not returned the payment. 3 Eleven's conduct frustrated Zhao's contractual

right to rent the subject premises at the addendum rate. Thus, Zhao has made her summary-adjudication

showing. 3 Eleven, on the other hand,

offers nothing but what it provided on Zhao's breach of contract claim.

Once more, Zhao is entitled to summary adjudication.

Zhao's third cause of action is for violation of Business

and Professions Code section 17200 et seq.

That portion of the Business and Professions Code, the Unfair

Competition Law, prohibits any unlawful, unfair, or fraudulent business act or

practice. (Bus. & Prof. Code, §

17200.) Zhao carried her burden in

showing 3 Eleven's conduct was unfair. It

wrongfully attempted to change the terms of the addendum, threatened eviction

unless payment was made, and then took from Zhao (and retained) \$19,798.20 to

which it had no right. Again, 3 Eleven

offers no particular argument or evidence to challenge Zhao's entitlement to

judgment on this cause of action.

The Court summarily adjudicates it in Zhao's favor.

Zhao's fourth cause of action is for conversion. The elements of a conversion cause of action

are (1) plaintiff's ownership or right to possession of personal property, (2)

defendant's wrongful exercise of dominion, and (3) resulting damages. (Foster v. Sexton (2021) 61

Cal.App.5th 998, 1020–1021.) It is

undisputed that 3 Eleven still has the \$19,798.20 that Zhao paid under

protest. It has no right to it. Zhao demanded its return. That is enough to establish conversion. 3 Eleven has offered no evidence, beyond that

previously discussed, to call this into question.

Again, Zhao is entitled to summary adjudication.

Zhao's sixth cause of action is for unjust

enrichment. The elements of an unjust

enrichment cause of action are (1) the defendant's receipt of a benefit, (2) that

it unjustly or wrongfully retains, (3) at the plaintiff's expense. (Lectrodryer

v. SeoulBank (2000) 77 Cal.App.4th 723, 726.) Restitution based on unjust enrichment may be

awarded in lieu of contract damages if a contract has been rendered ineffective

or unenforceable for some reason. (McBride v.

Boughton (2004) 123 Cal.App.4th 379, 388.) Given that the Court found the addendum to be

an enforceable contract, there is no need for a quasi-contract theory of recovery.

The Court denies Zhao's motion on those grounds.

Zhao's seventh and final cause of action is for

declaratory relief. Declaratory relief requires (1) a

person interested under a written instrument or a contract, or (2) a person who

desires a declaration of their rights or duties with respect to another or

regarding property, and (3) an actual controversy. (Code Civ. Proc., § 1060.) Among other things, however, granting that

relief is generally outside of this Court's jurisdiction. (Code Civ. Proc., § 86.)

So the

Court denies it.

In sum,

the Court DENIES Zhao summary judgment, but grants her summary adjudication as

to her first, second, third, and fourth causes of action.

Zhao is

to give notice.